

Market Survey:

Catching The Pulse Of The LED LIGHTING MARKET



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The ever-increasing need for energy conservation and efficiency is bound to boost the LED lighting industry in the country. The transformation from conventional lighting to LEDs indicates a tectonic shift in technology from electrical to electronics. This, in turn, may represent a significant growth opportunity for organisations offering electronic components, products and solutions used in LED lighting.

Considering the importance of the LED lighting industry in the electronics manufacturing ecosystem, we have published several articles covering business and technical aspects within this sector. However, given the evolution of the industry's ecosystem over the last six months with respect to implementation of government policies, investment climate and consumer demand, we decided to take a holistic look at Indian LED lighting industry. For the same, several senior-level stakeholders from within the industry were surveyed recently as part of our monthly industry poll. In this article, we take the pulse of the LED lighting industry in India.

Market size

Survey participants unanimously stated that they feel the industry is poised for growth.

Methodology

For the survey, 16 senior professionals involved in the LED lighting industry were contacted and their inputs sought. This sample is a micro-cosmic representation of India's LED lighting industry. Survey participants were requested to share their insight on:

- Growth of Indian LED industry in FY 2016-17
- Major demand-generating applications
- Customer demography categorisation
- Hindrances that impact the growth
- Technology trends

The responses obtained from the interviews were then collated and analysed.

They emphasised that the modestly-growing lighting industry will move at a fast pace, riding on government's support, public distribution and demand for ever-increasing need for smart, connected lifestyle and energy-efficiency measures.

Shyam Sujana, secretary general, Electric Lamp and Component Manufacturers Association of India (ELCOMA), shares that the LED range has grown by 50 per cent in 2015 to reach a turnover of ₹ 50.92 billion. The domestic lighting industry, which so far comprised lamps and components, has grown at the rate of 12 per cent to 14 per cent per annum over the last seven to eight

years, clocking an annual turnover of ₹ 182.11 billion in 2015.

Supported by ongoing government initiatives to promote LED lighting as well as changing consumer preferences, LED market is expected to grow to ₹ 216 billion by 2020, an exponential growth of 41 per cent CAGR from ₹ 159.25 billion in 2013, making the LED market ~60 per cent of the total lighting industry (₹ 376 billion) in 2020 (Fig. 1).

According to the market research firm, Research and Market, Indian LED lighting market is expected to

Fig. 1: Forecast on Indian lighting market size (Source: ELCOMA Data)

